IRS IDR -- Digital Services Tax Credit Analysis

IDR Number: IDR-2025-1203 | Tax Year: 2023 | Date Issued: 2025-10-01 | Examiner: Robert Chen, IRS LB&I

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1. Request Overview

This IDR relates to foreign tax credits claimed on the 2023 Form 1120 for Digital Services Taxes (DSTs) paid to the United Kingdom (2% DST), France (3% DST), and Italy (3% DST). The IRS seeks to determine whether these DSTs are creditable foreign income taxes under IRC Section 901 and the 2022 Final Foreign Tax Credit Regulations.

Total DST amounts paid: UK: $18.7M, France: $12.3M, Italy: $8.1M. Total claimed as foreign tax credits: $39.1M.

2. Documents Requested

a) Calculation methodology for DST liability in each jurisdiction, including the revenue base and applicable rates.
b) Analysis of whether each DST satisfies the net income tax requirement under Treas. Reg. 1.901-2(b).
c) Documentation of the realization, gross receipts, and cost recovery requirements for each DST.
d) Correspondence with foreign tax authorities regarding DST assessments or audit adjustments.
e) Internal memoranda or external opinions addressing the creditability of DSTs under the 2022 Final Regulations.

3. Regulatory Framework

The 2022 Final Foreign Tax Credit Regulations (TD 9959) established new requirements for foreign taxes to qualify as creditable income taxes. A foreign tax must satisfy: (1) the net income tax requirement, (2) the realization requirement, (3) the gross receipts requirement, and (4) the cost recovery requirement.

The applicability of these requirements to DSTs is an area of active regulatory scrutiny, particularly given that DSTs are typically imposed on gross revenues rather than net income.